GERMANY

A WEAKER RECOVERY, BUT ONE THAT IS STILL EXPECTED TO TAKE HOLD

After two years of recession, German growth began to recover in 2025. We expect it to strengthen in 2026, driven by the ramp-up of investment plans. We are, however, revising our forecasts downwards, as the German economy remains vulnerable to the current shock to energy prices (+0.8% in 2026 [-0.6pp] and +1.1% in 2027 [-0.4pp]). This will weigh on private consumption due to the impact of rising inflation (3.2% in 2026 [+1.6pp] et +3.5% in 2027 [+1.2pp]) on the purchasing power of wages. The fiscal trajectory, meanwhile, is expected to remain broadly unchanged. Public debt is set to continue rising towards 70% of GDP by 2030, which, in the current context, would maintain upward pressure on long-term interest rates.

GROWTH SET TO HOLD UP BETTER THAN IN 2022

After two years of contraction (-0.7% in 2023 and -0.5% in 2024), German growth returned to positive territory in 2025 (+0.4%), despite the US tariff shock. It was mainly driven by private consumption and public spending. Foreign trade weighed on economic activity, but for relatively favourable reasons: nearly two-thirds of the rise in imports came from capital goods, foreshadowing the ramp-up in public investment expected in 2026.

At the same time, investment made no contribution to growth in 2025, as the decline in the private sector was offset by the increase in the public sector. However, it has been rebounding since Q3 and is expected to accelerate further in 2026. It will be supported by public investment plans and tax incentives. The increase in new industrial orders observed at the end of 2025 serves as an additional indicator of an impending acceleration in investment (see our analysis). In our view, the conflict in the Middle East will not undermine this favourable momentum. The prolonged nature of public investment plans and their rapid implementation at the start of the year suggest ongoing support for growth: between January and February, investment spending (excluding SVIK[1]) more than doubled compared with the same period last year (see Chart 2), defence spending rose by 38%, and SVIK disbursements have already reached 1/4 of the 2026 target.

Conversely, the situation for Germany's industrial sector, which is particularly energy-intensive, is more challenging, as this shock compounds the issues faced in 2022, the rise in US tariffs and growing Chinese competition. At this stage, business surveys suggest these risks should be put into perspective: although companies are reporting sharp rises in input costs, the deterioration observed remains less severe than in 2022.

Household consumption, on the other hand, will be significantly affected by the ongoing rise in energy prices. The expected resurgence in inflation will weigh on their spending intentions, even as wages have caught up with inflation in 2022-2023 to a lesser extent than elsewhere in Europe (see Chart 3). The risk is that this will lead, as it did previously, in a sharper rise in the savings rate than in France, Italy or Spain.

THE PROSPECT OF WAGE PRESSURES IS RECEDING

The German labour market remains historically strong. The unemployment rate increased from a low of 3% to 4% and stabilised at that level between December 2025 and March 2026, while remaining low compared with the eurozone average (6.2% in February across the eurozone). This rise in unemployment is due to job losses in the manufacturing sector, despite ongoing job creation in the services sector. Job losses are expected to continue in sectors that are already in difficulty, which are also the most exposed to the energy shock.

Growth and inflation

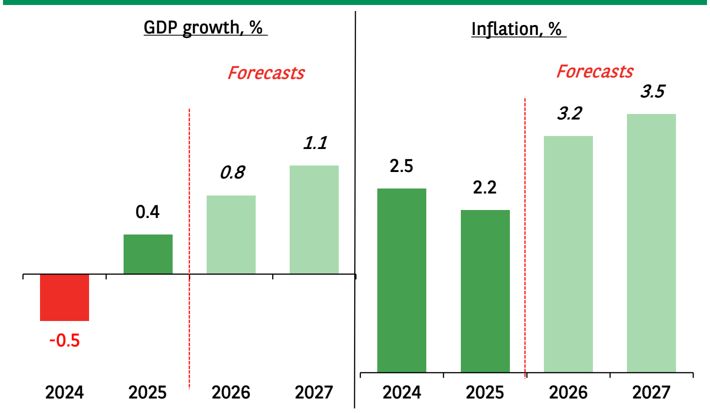

CHART 1 SOURCE: BNP PARIBAS GLOBAL MARKETS

Investment spending (without SVIK) have more than doubled compared to the same period last year

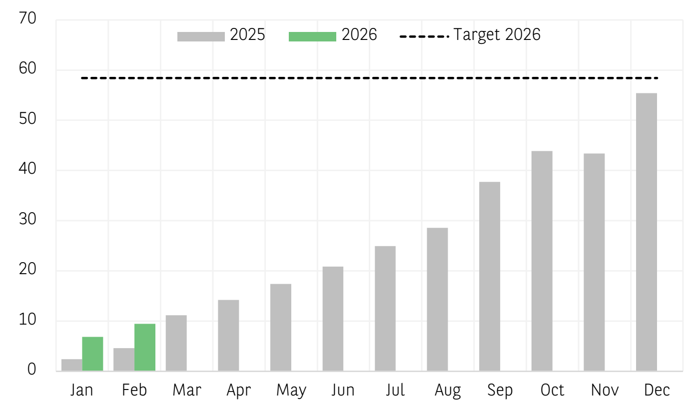

CHART 2 SOURCE: BUNDESFINANZMINISTERIUM, BNP PARIBAS

At the same time, the demand for labour has stabilised at a low level, and the tightness in the labour market continues to ease in both industry and services. Only construction remains an exception, although recruitment difficulties are easing there.

Against this backdrop, the gradual rise in employment linked to investment plans in defence and infrastructure is not expected to generate significant wage pressures. The redeployment of production capacity

1 Investment spending takes into account only spending from the main budget (excluding SVIK, the EUR 500 billion infrastructure fund).

freed up by sectors in difficulty, and in particular their workforce, will in fact help to meet some of the needs of businesses. Furthermore, the prospect of wage growth once again falling short of inflation should mitigate the impact on profit margins of a likely rise in input costs.

INFLATION CONSISTENTLY ABOVE 2% COMPARED WITH THE REST OF THE EUROZONE

Inflation picked up again in March (+0.8 pp to 2.8% y/y), while the core component remained stable (2.5%). This rise is attributable to energy prices (+7.2% y/y). In the coming months, German inflation is expected to remain higher than that of the eurozone (2.5% y/y in March).

The high sensitivity of German electricity prices to fluctuations in gas prices suggests a sharper rise in inflation, which is likely to feed through to core inflation. Having accumulated nearly 5 percentage points of additional inflation compared with France and Italy since the onset of the inflationary crisis in 2022, this gap could widen further. This would pose a challenge to German competitiveness, which has already been in decline for nearly 10 years (see our analysis). Consequently, inflation is expected to remain above 2% at least until the end of 2027, a level below which it has not fallen since 2021.

In Germany, more than in other countries, this inflationary trend has significantly impacted real wages, which remain around 11 percentage points below their levels prior to the post-Covid inflation crisis. The minimum wage increases planned for 2026 and 2027 (+8% and then +5%, to EUR14.60/hour) will have a direct impact on low-wage earners. However, their influence across the entire wage spectrum is likely to be limited. This situation is adversely affecting household confidence and consumption.

A FISCAL TRAJECTORY LARGELY UNCHANGED AT THIS STAGE

The current context does not call into question our assessment of a controlled increase in public spending. This is based on the budgetary reform initiated by the government in 2025, which includes a multi-year plan that derogates from the debt brake to finance investments in infrastructure and defence, while maintaining a constrained federal budget outside these sectors. Consequently, an initial rise in the public debt ratio was observed in 2025, to 63.5% of GDP (up from 62.2% in 2024).

At this stage, the budgetary cost of the measures adopted by the government in response to rising energy prices remains moderate (EUR 1.6 billion). These measures are centred on capping fuel prices and reducing the tax on petrol by EUR 0,17 / litre for a period of two months. In addition, a one-off, tax-free support payment of EUR 1,000 may be paid to employees. Further measures could be introduced if the conflict drags on and energy prices remain high. However, the scale of these measures is expected to be smaller than that seen in 2022, as there is less fiscal room for manoeuvre. Any additional measures or any deterioration in the deficit linked to a slowdown in growth will need to be offset in order to comply with the debt brake rule. Consequently, our public debt scenario remains broadly unchanged from our autumn forecast (see our analysis).

At the same time, financing requirements linked to extra-budgetary funds are likely to continue to exert upward pressure on sovereign yields. The yield on the 10-year Bund crossed the 3% threshold at the end of March, amid inflationary pressures and expectations of increased fiscal support. However, the effective interest rate on debt remains low (due to the prolonged period of negative long-term rates) and the debt burden (1.1% of GDP in 2025) is expected to increase only gradually, reaching 1.7% in 2030.

German wages have recovered less than in other countries to their pre-Covid inflationnary crisis levels

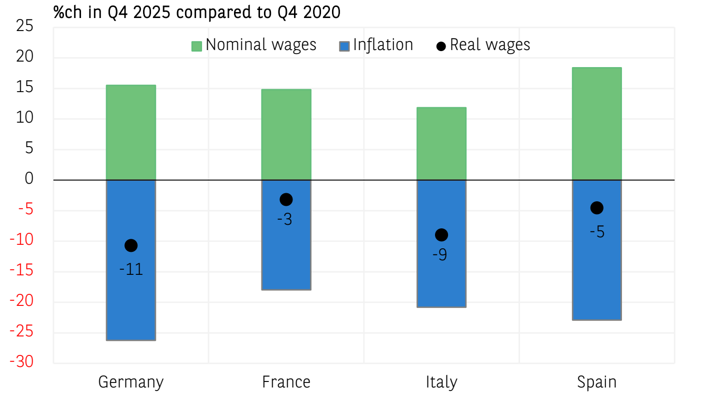

CHART 3 SOURCE: EUROSTAT, NATIONAL STATISTICS, BNP PARIBAS

Furthermore, structural reforms are ongoing, particularly those aimed at bolstering business investment, reforming tax and social protection systems, and expanding the labour supply. Fiscal measures are already in place (accelerated depreciation of business investment until 2027, to be followed by a reduction in corporation tax from 2028), supplemented by administrative simplifications for businesses, which will lead to an overhaul of the tax system effective from 1 January 2027. Finally, proposals for social security reform (pensions) have been put forward and will be finalised by the end of 2026.

A REBALANCING OF FOREIGN TRADE IS UNDERWAY

Exports continue to account for a significant share of the German economy (41% of GDP in 2025), significantly higher than the levels seen in the rest of the eurozone (nearly 30% in France, Italy and Spain). Although exports have not contributed to growth since 2023, they stabilised in 2025. This stabilisation is due to a geographical shift in trade patterns, with exports to the eurozone increasing (+4.1% y/y in 2025), compensating for the decline in markets outside Europe (notably China and the United States).

Beyond this geographical reallocation, a rebalancing of intra-European trade is underway. This shift is prompted by a reversal in competitiveness trends, characterised by a faster rise in labour costs in Germany than in other European countries over the past decade, in contrast to the previous period. As a result, Germany's trade surpluses with other European countries are gradually diminishing, as these countries increasingly benefit from German demand. This trend is reinforced by German investment plans and the intention to establish a European supply base as part of rearmament policies. It is evident in the rise of German imports and a reduction in bilateral surpluses, particularly with France. Therefore, German demand is fostering growth in other European countries, a recent development that is set to continue.

Article completed on 21 April 2026

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FRANCE

GROWTH, PUBLIC FINANCES: STAYING ON TRACK

Since rebounding in Q2 2025, French growth has been relatively robust. Things are not expected to have changed in Q1 2026, with growth supported in particular by precautionary spending. In Q2, higher inflation (and thus lower purchasing power) should weigh on household consumption, whilst support from public finances is expected to be more moderate than in 2022. However, French growth is expected to remain resilient, driven in particular by public investment (both French and European) in defence and private investment in AI. Overall, we are revising our growth forecasts to 1% in 2026 (-0.3 pp) and 1.1% in 2027 (-0.2 pp); and our inflation forecasts to 2.4% in 2026 (+1.3 pp) and 1.9% in 2027 (+0.4 pp). However, we are maintaining our forecasts for the public deficit at 5% of GDP in 2026 and 4.5% in 2027.

GROWTH: COPING WITH HIGHER INFLATION, BUT BENEFITTING FROM THE RESILIENCE OF INVESTMENT AND EXPORTS

The stars had aligned for 2026 to be a good year for growth. Rebounding aeronautics production and the implementation of European rearmament plans were set to support exports. The clearer pass-through of the ECB's monetary easing to lending rates for the non-financial private sector had boosted investment. After several months of wage growth outpacing inflation, growth in household consumption was accelerating. Finally, the budget adopted in February pointed to robust public consumption and investment.

With the war in Iran, private domestic demand is facing the most pronounced downside risks. Rising oil prices are weighing on household purchasing power, which is likely to affect their spending intentions. As a result, household consumption will likely decline in the second quarter.

Rising uncertainty and inflation have already weighed on interest rates (a 15-basis-point rise in lending rates to non-financial corporations between August 2025 and February 2026). It is still uncertain as to whether the ECB will raise its key interest rate. This would weigh on private-sector investment prospects, but would not call them into question. Business investment is expected to rise in both the services and construction (AI and data centres) sectors. Household investment is expected to mainly benefit maintenance/renovation (strong performance in second-hand transactions) and, to a lesser extent, new-builds (a slight rebound in housing starts). Public investment (+2.1% in 2025) is expected to continue to grow, supported by decarbonisation, rearmament and service investment efforts.

Overall, the business climate remained stable for the time being. It is underpinned by the situation in industry, which is benefitting in particular from public spending (rearmament plan) and robust exports, which are expected to continue.

FOREIGN TRADE: BULLETPROOF?

Since mid-2025, France has benefitted from a rebound in its exports of goods, particularly in aeronautics, defence, pharmaceuticals and industrial inputs (electronics). This momentum continued in January and February 2026, helping to restore the current account balance (following a deficit of EUR 12.5 billion in 2025, or -0.3% of GDP). Export gains are mainly intra-EU, primarily to Germany, and are expected to provide significant support for GDP growth. This momentum is expected to continue despite the war in Iran, as it is driven by industrial sectors with little exposure to the region. Furthermore, it depends on growing public demand driven by European rearmament plans (which are far from limited to the German plan; see our analysis) or investments that are not sensitive to the economic cycle (AI).

Growth and inflation

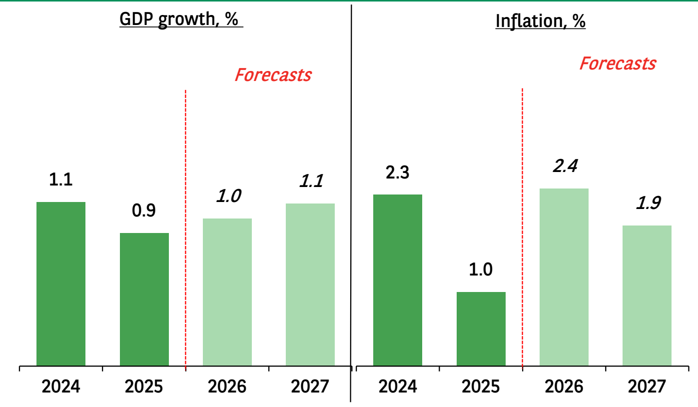

CHART 1 SOURCE: BNP PARIBAS GLOBAL MARKETS

LOANS: GOOD MOMENTUM WITH SLIGHT DETERIORATION RISKS

The rate on new housing loans to households rose by 10 bp in Q1 2026. This modest rise contrasts with the stable rate, at around 3% in 2025. Despite a highly competitive environment, our rate scenario (money market and swap rates) suggests a slight increase in average mortgage rates in Q2, and probably a sharper rise thereafter. At the same time, monthly new lending has stabilised since Q2 2025, hovering around the moderate level of EUR 12.5 billion, before falling slightly in Q1 2026 (EUR 12 billion). A rise in rates would automatically weigh on the figures. Therefore, growth in outstanding loans is modest (+0.2% y/y in February) due to high repayment flows linked to the abundant new lending during the period of low interest rates. As a result of households' decreased ability to purchase property, transaction volumes are expected to decline and prices are expected to stabilise over the coming quarters.

Corporate investment loans remained buoyant in Q1 2026, driven mainly by the acceleration in the lending for construction purposes (up 4.6% y/y and 5.5% y/y in January and February, respectively). Market financing is keeping pace, rising by 6.1% y/y, against a backdrop of a slight fall in the cost of debt issued (-9 bp m/m). The forthcoming rise in market rates is likely to make bank financing more attractive. However, the profitability of investment projects could be eroded, but not enough to jeopardise them.

INFLATION IS PAINFUL FOR THE CONSUMER

Harmonised inflation hit a low in January 2026 (0.4% year-on-year), which pointed to improved household purchasing power and suggested a rebound in household spending. At the time, it was not known that the period of wages rising faster than inflation (by a cumulative 2 percentage points over 2024-25) was about to end. Harmonised inflation accelerated in March to 1.9% y/y, driven by rising fuel prices. As a result, from Q2 onwards, it is expected to outpace wage growth. Although, according to our forecasts, inflation is expected to rise less sharply than in 2022-2023 (peaking at nearly 3% in early 2027, compared with 7.3% in February 2023) and spread less widely to goods and services, household purchasing power is also likely to be less protected than in 2022-2023. According to our calculations, public support measures adopted at the time prevented (at their peak) nearly 2.5 percentage points of inflation, whereas the support is likely to be more limited this time – with the government favouring targeted measures to prevent the public deficit from widening. According to our forecasts, the purchasing power of gross disposable income is set to contract by 0.3% in 2026 (compared with a gain of +0.4% in 2022, despite an inflation of nearly 6% according to the harmonised measure). Consequently (and despite a fall in the savings rate from 18.1% in 2025 to 17.5% in 2026), private consumption is expected to grow by just 0.5% in 2026 (as in 2025), compared with a 1% rebound anticipated before the war in Iran. This would reduce GDP growth by nearly a quarter of a percentage point.

LABOUR MARKET: MODERATE DETERIORATION

The slight decline in salaried employment in 2025 (-0.2% y/y in Q4, compared with +0.2% y/y in Q4 2024) followed the low point recorded in terms of growth (0.7% y/y in Q1 2025) and led to a slight rise in the unemployment rate (7.9% in Q4, compared with 7.3% a year earlier). In 2026, the unemployment rate is expected to rise to 8.2%, driven by a rise in youth unemployment. This moderate deterioration should limit the decline in household confidence. This situation is also consistent with the continued moderation of wage pressures, meaning that, like in 2022, corporate margins would be supported by a decline in real wages (albeit to a lesser extent), partly offsetting the impact of rising oil prices. This trend is expected to persist until mid-2027. Indeed, although an increase in the minimum wage is expected from May (with the price index having risen by 2% compared with the end of 2025), the imperfect indexation of wages above the minimum wage suggests that real wages are likely to decrease.

PUBLIC FINANCES: CONSOLIDATION REMAINS THE TARGET

The public deficit reached 5.1% of GDP in 2025, a more pronounced improvement on its 2024 level (5.8%) than the government's target (5.4%), linked to a 0.8-pp rebound in compulsory levies (43.6% in 2025, see our analysis). In 2026, the public deficit is expected to be in line with the government's 5% target. The consequences of the energy shock are likely to wipe out the fiscal leeway that had emerged following the strong performance of 2025, particularly due to an additional 0.1 percentage point in debt servicing costs (mainly due to the impact of inflation on index-linked bonds). A rise in bond yields would have only a very marginal upward effect on the latter, due to the debt's high average maturity (8.5 years).

French exports have rebounded sharply since mid-2025

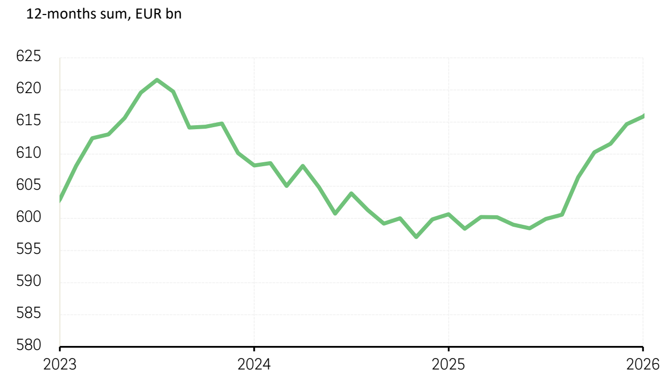

CHART 2 SOURCE: CUSTOMS, BNP PARIBAS

Support measures in response to the inflationary shock, currently amounting to EUR 400 million (less than 0.1% of GDP), have been announced. With no room for manoeuvre, the government has announced that any additional measures will be offset by equivalent savings. The increase in the defence budget and the debt service (together accounting for +0.6 percentage points of GDP) is expected to prevent a decline in the public expenditure ratio (which is projected to stabilise at around 57% of GDP in 2026 and 2027). As a result, the reduction in the public deficit would, once again, rely on a rebound in compulsory levies, which would return to their pre-COVID level (44.4% of GDP) by the end of 2027. Reducing the public deficit at an average rate of 0.5 percentage points of GDP per year would help to slow the rise in public debt (115.6% of GDP in 2025, +3 pp y/y) before stabilising it at around 120% of GDP in 2030, when the budget deficit is expected to return to the 3% of GDP target.

Article completed on 21 April 2026

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Germany: Momentum continues in Q1, with risk of a pull-back in Q2

		Apr 25	May 25	Jun 25	Jul 25	Aug 25	Sep 25	Oct 25	Nov 25	Dec 25	Jan 26	Feb 26	Mar 26
Global	Composite index	-1.4	-1.4	-1.2	-1.2	-1.1	-1.3	-1.2	-1.3	-1.3	-1.3	-1.2	-1.5
	Credit*												
	Interest rate on new NFC loans, %	3.9	3.8	3.8	3.6	3.5	3.6	3.6	3.6	3.7	3.7	3.6	
	Net flows of NFC loans (12-month cumulative, EUR bn)	10	7	6	8	15	10	15	15	10	-3	-2	
	Net NFC debt securities issuance (12-month cumulative, EUR bn)	8	4	1	3	-2	-2	-2	2	2	4	6	
Industry	Business Climate												
	Composite	-1.6	-1.3	-1.3	-1.2	-1.2	-1.3	-1.1	-1.3	-1.3	-1.2	-1.1	-1.3
	Expected production	-0.7	-0.5	-0.9	-0.3	-1.0	-0.6	-0.4	-0.8	-0.9	-0.8	-0.5	-0.3
	Order books	-1.6	-1.5	-1.8	-1.6	-1.5	-1.8	-1.6	-1.5	-1.7	-1.5	-1.3	-1.2
	Export order books	-1.7	-1.5	-1.8	-1.6	-1.5	-1.7	-1.5	-1.4	-1.7	-1.4	-1.4	-1.3
	Price expectations	0.1	-0.3	-0.4	-0.3	-0.3	-0.5	-0.4	-0.2	-0.2	-0.2	0.0	0.5
	Employment expectations	-1.4	-1.2	-1.7	-1.5	-1.4	-1.4	-1.6	-1.7	-1.8	-1.7	-1.6	-1.5
Services	Business Climate												
	Composite	-1.2	-1.2	-0.9	-1.0	-1.0	-1.4	-1.2	-1.1	-1.3	-1.4	-1.2	-1.6
	Expected activity	-1.1	-1.0	-0.5	-0.5	-0.7	-1.1	-0.8	-0.8	-1.1	-1.1	-0.8	-1.6
	Price expectations	0.6	0.3	0.2	0.2	0.6	-0.2	0.1	0.3	0.6	0.2	0.2	0.5
	Employment expectations	-1.4	-0.9	-1.5	-1.3	-1.6	-2.2	-1.5	-2.0	-2.2	-1.4	-1.7	-1.5
Retail	Business Climate												
	Retail trade	-1.5	-0.9	-1.3	-1.6	-1.4	-1.4	-1.3	-1.6	-1.7	-1.4	-1.7	-2.0
	Price expectations (Food)	0.6	0.3	0.4	0.2	0.3	0.5	0.2	0.1	-0.1	-0.2	0.0	0.1
	Wholesale trade	-1.7	-1.3	-1.1	-1.2	-1.1	-1.3	-1.1	-1.1	-1.3	-1.2	-1.1	-1.5
Construction	Business Climate												
	Composite	-1.2	-1.0	-0.8	-0.8	-0.9	-0.8	-0.8	-0.8	-0.8	-0.8	-0.6	-0.9
	Expected activity	-1.2	-1.0	-0.9	-0.4	-0.5	-0.4	-0.4	-0.3	-0.4	-0.4	-0.2	-0.3
	Price expectations	-0.1	-0.4	-0.3	-0.1	0.0	0.0	0.0	0.1	0.1	0.1	0.4	1.0
	Employment expectations	-1.0	-0.9	-0.2	-0.2	-0.4	-0.3	-0.5	0.4	-0.2	-0.3	0.0	-0.3
	Household Confidence & Credit*												
	Housing purchases	2.5	2.5	2.5	0.7	0.7	0.7	1.2	1.2	1.2	2.5	2.5	2.5
	Interest rate on new housing loans, %	3.7	3.7	3.7	3.7	3.7	3.7	3.7	3.7	3.7	3.8	3.8	
	New housing loans (12-month cumulative, EUR bn)	220	224	227	230	232	234	236	238	241	240	240	
Consumption	Household Confidence & Credit*												
	Composite	-0.7	-0.5	-0.6	-0.5	-0.7	-0.5	-0.7	-0.9	-0.9	-0.6	-0.8	-1.2
	Expected financial situation	-0.6	-0.4	-0.4	-0.2	-0.6	-0.3	-0.7	-0.7	-1.0	-0.5	-0.5	-1.0
	Major purchases opportunity	-1.1	-1.0	-1.0	-1.1	-1.2	-1.1	-1.2	-1.0	-1.1	-1.1	-1.2	-1.4
	Price expectations	0.3	-0.1	-0.6	-0.2	0.0	0.1	0.1	0.1	0.3	-0.3	-0.1	1.7
	Fears of Unemployment	-0.9	-0.9	-0.9	-0.9	-1.0	-1.0	-1.0	-0.9	-0.9	-1.0	-1.1	-1.2
	Interest rate on new consumer loans, %	8.0	7.9	7.9	8.1	8.0	7.9	7.9	8.0	7.7	8.1	8.1	
	New consumer loans (12-month cumulative, EUR bn)	95	94	93	92	91	91	91	90	90	90	90	

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Indicators are converted into z-scores, i.e. deviations from their long-term average (expressed in standard deviations). Positive (negative) values indicate that the indicator is above (below) its long-term average by a given number of standard deviations. Red shading corresponds to strong economic activity, elevated inflation expectations, and low unemployment fears, while blue indicates a slowdown in activity, moderate inflation expectations, and heightened unemployment fears.
**Credit indicators are neither standardised as z-scores nor associated with any colour coding: they are shown in levels (or as 12-month cumulative flows) and should be interpreted separately from the other indicators.*

The energy shock has mainly resulted in precautionary behaviour on the part of firms, which increased their inventories in March. This reflects the sharp rise in input costs (which are still below their 2022 levels, however). In the short term, the build-up of corporate inventories (prior to the acceleration in inflation) has supported production. The rise in energy prices does not appear, at this stage, to have affected household spending behaviour.

Macroeconomic pressures have led to a marked slowdown in housing loans and a decline in consumer and business lending. Whilst interest rates remain stable, new loans to households for house purchase continued to slow on a year-on-year basis in February. Consumer loans continue to decline sharply. Year-on-year, net bank lending to businesses fell for the second consecutive month in February, a situation which had not been seen since 2015. This decline is only being marginally offset by the modest year-on-year rise in net debt-security issues.

GDP: growth, carry-over and forecasts

OBSERVED GROWTH (q/q)			CARRY-OVER	FORECAST (q/q)			ANNUAL FORECAST		
Q2 2025	Q3 2025	Q4 2025	Q4 2025	Q1 2026	Q2 2026	Q3 2026	2025 (observed)	2026	2027
-0.2	0.0	0.3	0.2	0.3	0.5	0.5	0.4	1.4	1.5

Source: Refinitiv, BNP Paribas

Growth is expected to reach 0.3% in Q1, as in Q4 2025. This continued momentum would once again be driven by public investment and consumption, whilst private consumption is expected to be robust in Q1 (as household purchasing intentions have not deteriorated significantly). Inventory build-up is also expected to have a positive impact, whilst import dynamics will mean that net exports will continue to contribute negatively.

Adverse consequences could be seen in Q2, with household consumption growth hampered by rising inflation. Public consumption and investment (at least public investment) would remain robust.

Lucie Barette and Thomas Humblot (completed on 13 April 2026)

France: Growth held up well in Q1

Sector	Indicator	Apr 25	May 25	Jun 25	Jul 25	Aug 25	Sep 25	Oct 25	Nov 25	Dec 25	Jan 26	Feb 26	Mar 26
Global	**Composite index**	-0.1	-0.5	-0.9	-0.7	-0.7	-0.6	-0.4	-0.3	-0.4	0.3	-0.1	-0.5
	Credit*												
	Interest rate on new NFC loans, %	3.7	3.5	3.5	3.5	3.4	3.4	3.4	3.4	3.5	3.5	3.5	
	Net flows of NFC loans (12-month cumulative, EUR bn)	31	29	15	24	22	25	25	26	21	21	23	
	Net NFC debt securities issuance (12-month cumulative, EUR bn)	-6	5	9	19	19	32	31	37	34	45	44	
Industry	**Business Climate**												
	Composite	0.0	-0.6	-1.0	-0.8	-0.6	-0.6	-0.1	-0.4	-0.4	0.7	0.1	-0.4
	Expected production	0.1	-1.0	-0.9	-0.8	-0.9	0.1	0.9	0.4	0.2	0.8	0.0	-0.1
	Order books	-0.1	-0.6	-0.6	-0.3	-0.3	-0.6	0.1	-0.4	0.0	0.5	0.0	-0.2
	Export order books	-0.2	-0.3	-0.2	-0.4	-0.2	-0.2	0.9	0.0	0.6	0.7	0.5	0.0
	Price expectations	0.0	-0.1	-0.1	-0.1	-0.1	-0.1	-0.1	-0.2	-0.3	-0.4	-0.2	0.1
	Employment expectations	0.2	0.2	0.3	0.1	0.1	0.4	0.4	0.3	0.4	0.4	0.3	0.3
Services	**Business Climate**												
	Composite	0.0	-0.4	-0.5	-0.2	-0.5	0.0	-0.2	-0.1	0.0	0.0	-0.2	-0.3
	Expected activity	0.0	-0.4	-0.8	-0.2	-0.3	0.2	-0.3	0.0	0.0	0.0	-0.4	-0.3
	Price expectations	0.5	0.4	0.2	0.6	0.8	0.4	0.5	0.4	0.5	0.6	0.3	0.3
	Employment expectations	-0.7	-1.4	-1.0	-1.0	-0.6	-0.9	-0.6	-0.3	-0.7	-0.4	-0.7	-0.6
Retail	**Business Climate**												
	Retail trade	-0.9	-0.8	-1.0	-0.4	-0.3	-1.3	-1.2	-0.6	-0.7	-0.5	-0.5	-1.0
	Price expectations (Food)	0.0	-0.1	-0.1	-0.1	0.1	0.1	-0.2	0.2	0.1	0.0	0.1	0.1
	Wholesale trade	-0.6	-0.6	-0.6	-0.3	-0.3	-0.1	-0.1	-0.1	-0.1	0.1	0.1	-0.5
Construction	**Business Climate**												
	Composite	-0.1	0.0	0.0	-0.1	-0.1	-0.1	-0.2	-0.2	-0.2	-0.2	-0.2	-0.2
	Expected activity	-0.4	0.2	-0.2	-0.4	0.1	0.1	-0.3	-0.4	-0.5	-0.4	-0.2	0.1
	Price expectations	-0.1	-0.1	-0.1	-0.1	-0.1	-0.1	-0.2	-0.2	-0.2	-0.1	-0.1	-0.1
	Employment expectations	0.1	0.2	0.2	0.1	0.2	0.1	-0.1	-0.1	0.0	0.0	0.0	0.0
	Household Confidence & Credit*												
	Housing purchases	-0.2	-0.2	-0.2	-0.1	-0.1	-0.1	0.2	0.2	0.2	1.5	1.5	1.5
	Interest rate on new housing loans, %	3.0	3.0	3.0	3.0	3.0	3.0	3.0	3.0	3.0	3.1	3.1	
	New housing loans (12-month cumulative, EUR bn)	162	166	170	173	175	179	182	185	187	188	188	
Consumption	**Household Confidence & Credit***												
	Composite	-0.7	-0.9	-0.9	-0.7	-1.1	-1.2	-0.5	-0.5	-0.6	-0.5	-0.2	-0.8
	Expected financial situation	0.1	-0.1	-0.1	0.2	-0.4	-0.4	0.4	0.3	0.0	0.4	1.0	0.1
	Major purchases opportunity	-0.2	-0.5	-0.4	-0.3	-0.4	-0.7	-0.7	-0.7	-0.5	-0.6	-0.6	-0.6
	Price expectations	-0.6	-0.7	-0.9	-0.2	0.2	-0.1	-0.2	-0.1	0.1	0.1	-0.2	1.5
	Fears of Unemployment	-0.4	-0.8	-0.5	-0.4	-0.4	-0.4	-0.1	-0.3	-0.1	-0.2	-0.4	-0.2
	Interest rate on new consumer loans, %	6.4	6.3	6.2	6.0	6.0	6.0	6.0	6.2	6.0	6.4	6.3	
	New consumer loans (12-month cumulative, EUR bn)	73	73	72	72	72	72	72	72	72	71	71	

-3 -2 -1 0 1 2 3

Indicators are converted into z-scores, i.e. deviations from their long-term average (expressed in standard deviations). Positive (negative) values indicate that the indicator is above (below) its long-term average by a given number of standard deviations. Red shading corresponds to strong economic activity, elevated inflation expectations, and low unemployment fears, while blue indicates a slowdown in activity, moderate inflation expectations, and heightened unemployment fears.
**Credit indicators are neither standardised as z-scores nor associated with any colour coding: they are shown in levels (or as 12-month cumulative flows) and should be interpreted separately from the other indicators.*

The impact of the energy price shock has been limited so far. Expected price indices rebounded only slightly in March, across all sectors (a very different situation to 2022). For the time being, this shock does not involve any major supply constraints. Output is likely to be more severely affected by falling demand as the issue of purchasing power resurfaces. Although this is a concern for households, they have not yet scaled back their spending intentions.

Lending trends are beginning to reflect these tensions, as lending to households is slowing, whilst lending to businesses remains relatively stable. The year-on-year slowdown in new mortgage lending loans to households for house purchase accelerated in February as interest rates began to rise. New consumer loans have fallen for the eighth consecutive month, whilst interest rates remain at historically high levels. On a year-to-date basis, net flows of bank lending to businesses – driven in particular by the repayment of state-guaranteed loans – and net debt-security issues have risen only slightly since December 2025. Bank lending rates remained stable in February.

GDP: growth, carry-over and forecasts

OBSERVED GROWTH (q/q)			CARRY-OVER	NOWCAST	FORECAST (q/q)			ANNUAL FORECAST		
Q2 2025	Q3 2025	Q4 2025	Q4 2025	Q1 2026	Q1 2026	Q2 2026	Q3 2026	2025 (actual GDP)	2026	2027
0.3	0.5	0.2	0.5	0.3	0.3	0.3	0.3	0.9	1.3	1.3

See the Nowcast methodology. Contact: Tarik Rharrab

Source: Refinitiv, BNP Paribas

Growth is expected to have reached 0.3% q/q in the first quarter of 2026, according to our nowcast. This acceleration compared with Q4 2025 (0.2% q/q) indicates that demand (private, public, and export) remains strong. Furthermore, this growth is thought to have been supported by households stockpiling goods in anticipation of rising inflation.

In Q2, there is a significant likelihood of adverse consequences. Our forecasts are expected to be updated soon in order to reflect the expected impact of the energy shock. Although inflation remains relatively contained outside the energy sector, this fear persists among households. Therefore, they are likely to scale back their spending intentions, which could push GDP closer to stagnation in Q2 (contrary to the forecast of 0.3% q/q prior to the outbreak of the war in Iran).

Stéphane Colliac and Thomas Humblot (completed on 13 April 2026)

Paris, le 14 April 2026

EcoFlash

Elections in Hungary: a strong mandate to tackle economic challenges

In Hungary, Péter Magyar's pro-European centre-right party won a landslide victory in the general election held on 12 April. According to the latest official estimates, Tisza is reported to have secured a supermajority, which would give it significant room for manoeuvre to drive through institutional reforms. The new government will nevertheless face several challenges, including the release of European funds essential for revitalising the economy, and the consolidation of public finances. Meanwhile, the partnership with China in the field of electric mobility remains a priority.

A supermajority for Péter Magyar's new government?

In the general election held on 12 April, Péter Magyar, the leader of Tisza – a centre-right, pro-European party– won a landslide victory. According to the latest figures, he is reported to have secured 137 of the 199 seats in Parliament[1]. These elections bring to an end the 16-year rule of Viktor Orbán's government[2], led by Fidesz. The Fidesz-KDNP alliance, which came in second with 56 seats, is followed at a considerable distance by Mi Hazánk, the far-right party, which holds six seats. The record voter turnout of 79.6% (compared to 69.6% in 2022) reflects the high stakes of the election. The new government is expected to take office within a month for a four-year term.

This is the ideal scenario for Péter Magyar's future government. Viktor Orbán conceded defeat on election night, thereby removing any uncertainty regarding the outcome of the vote. Currently, all indications point to Tisza having secured a supermajority in Parliament. If this is confirmed next Saturday, this comfortable majority will mark a decisive turning point for Hungary. A supermajority is, in fact, essential for any constitutional change and gives the future government the necessary leeway to implement economic and institutional reforms. It is worth noting that Hungary currently ranks at the lowest position among Central European countries in terms of governance[3].

Significant yet manageable economic challenges

- **Towards a gradual release of European funds.** On the economic front, Tisza's decisive victory and its future commitment to institutional reforms should pave the way, in the coming months, for the release of European funds (EUR19 billion, or around 8.8% of GDP).
- **A tight schedule.** The transfer of European funds, particularly those linked to recovery and resilience (EUR 10.4 billion allocated, 4.8% of GDP), must be completed by 31 December 2026, with all milestones needing to be met by 31 August 2026. To date, 91.3% of the funds earmarked for Hungary are still awaiting transfer and could be permanently forfeited if the reforms are not approved in time. By comparison, other countries in the region have already used up around half of the recovery and resilience funds.
- **A flagging economy in need of a boost.** Péter Magyar's forthcoming government is counting on these resources to revive investment, which has been in sharp decline since 2022, and to support growth. It inherits a faltering economy (following several years of sluggish growth) which must also contend with the repercussions of the conflict in the Middle East. Inflation began to rise again in March (+1.8% y/y compared with 1.4% in February) and is expected to accelerate further in the coming months, although the government's cap on fuel prices and tax cuts should help to contain inflationary pressures.
- **The incoming government has pledged to consolidate public finances.** The release of European funds is expected to provide some relief for public finances. However, public spending is not expected to fall significantly in the short term under Péter Magyar's government. His priorities are healthcare, education and maintaining generous social welfare measures. In 2026, the budget deficit could remain close to 5% of GDP. The public debt-to-GDP ratio (74.6% in 2025) is the highest in Central Europe and is expected to rise further in the short term. This deterioration in public finances could act as a brake on the future government's ambitious economic programme.

  The government is expected to uphold its commitment to consolidating public finances in the medium term in order to comply with the fiscal rules set for 2030, in line with its election manifesto and with the aim of joining the eurozone. This commitment should help reduce investors' perception of sovereign risk and enable government bond yields (currently among the highest in Central Europe) to fall.

Maintaining the partnership with China

For several years, Hungary has successfully attracted foreign direct investment (inbound FDI: EUR6.8 billion, 3.2% of GDP in 2025), much of which is directed towards the automotive sector. The country is one of the main recipients of Chinese investment in the automotive sector in the region, and it is anticipated that China will continue to be a key partner for Hungary. The national strategy for electric mobility is not expected to change in the medium term. On the contrary, the war in the Middle East is likely to reinforce this strategic positioning. It should be noted that a Chinese BYD factory, focused on electric cars, is expected to become operational in 2026.

Normalisation of relations with the EU

Tisza's victory is likely to facilitate the normalisation of Hungary's relations with the EU and pave the way for the release of the EUR90 billion European loan intended for Ukraine, which Viktor Orbán's government had vetoed.

The dependence on Russian hydrocarbons is set to continue in the short term. Economic ties between Russia and Hungary are expected to remain strong in the short term, particularly in the energy sector. Currently, 80.3% of oil and 77.3% of gas comes from Russia. However, Peter Magyar's election manifesto aims to reduce dependence on Russian energy supplies by 2035. However, the ongoing conflict in the Middle East may prolong this transition.

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[1] The number of seats required for a supermajority is 133. By way of comparison, in 2022, Fidesz, Viktor Orbán's party, won a supermajority with 135 seats. The final results will be announced on Saturday.
[2] Election results as of 2:58 pm on 14 April, according to the National Election Office.
[3] Transparency International's Corruption Perceptions Index ranks Hungary at the bottom of the table alongside Bulgaria.